

- Lesson: If a stock does not do what you expect, consider selling, especially after an adverse breakout from a chart pattern.

Building Materials Holding Corp.

On the buy side, I bought an upward breakout in a descending triangle in Building Materials Holding Corp. (BLG) and sold after price spiked upward 20% after the announcement of quarterly earnings. The stock retraced for a week, then started moving higher. I made 22% but missed out on the 52% rise above my sale price after I sold.

- Lesson: Many times after a good earnings announcement, price will complete an inverted dead-cat bounce (price spikes up for a day or two and then retraces for a week to 10 days but sometimes up to a month) and then climb thereafter. Nimble traders can wait for price to retrace and then buy, participating in the stock as it rises on a positive future outlook.

ExpressJet Holdings

In ExpressJet Holdings (XJT), I bought an upward breakout from a descending triangle in early 2007 and kept a tight stop. I lost 5% when the stock eased lower. I'm glad I sold because the stock dropped from my 5.78 sale price to 34 cents (and perhaps lower before I archived the data), a decline of 94%.

- Lesson: Keep losses small.

Frontier Oil Corp.

In late 2010, I traded a descending triangle in Frontier Oil Corp. (FTO) with a busted downward breakout. The stock dropped 5% after the breakout, turned around, and I bought when it recovered to near the top of the triangle, in November at 15.47. The stock moved up at a quick pace, and I was stopped out after it peaked, at 25.35 for a 64% gain in 3 months.

- Lesson: Busted downward breakouts can lead to good gains.